Goldman Sachs Research

Equity Research

1 May 2026 | 1:50AM CST

MediaTek (2454.TW)

The AI ASIC upcycle is just getting started; substantial upside potential into 2028E; reiterate Buy with TP up to NT$5,000

2454.TW	12m Price Target: **NT$5,000.00**	Price: **NT$2,610.00**	Upside: **91.6%**

We see substantial earnings upside potential into 2028E for MediaTek underpinned by the next-gen AI ASIC projects. We now expect the **ASP for the next project to be multiple times higher vs. the current generation as we see opportunity for it to engage in the compute dies design process in addition to I/O dies**. What's more, given the higher content value to the next project, **we expect the project to be GM-accretive**, providing further profitability upside into 2028E. With this, we are now model MediaTek's **AI ASIC revenue to reach US$48bn (vs. US$19bn previously) in 2028E, accounting for 66% of its total revenue**. While we note some investor concern around the second approach of advanced packaging technology, management addressed the concern and stated they see strong merit in the solution with execution progressing well.

On the back of the strong growth outlook from AI ASIC, we expect **MediaTek's 2027E-28E revenue to grow by 61%/111% YoY** (vs. 60%/29% YoY previously) with **OpM improving to 33% in 2028E from 22% in 2027E**. **We raise our 12m TP to NT$5,000** from NT$2,454 (25x 2H27-1H28E EPS). With 92% of implied upside, we reiterate our Buy rating on MediaTek.

A much stronger ASIC outlook reaffirms our positive view

MediaTek hosted its 1Q26 analyst meeting on 30 April. Management's tone towards the AI ASIC growth outlook turned even more positive vs. 3 month ago. Not only that, management raised its AI ASIC TAM, but also indicated will see more content gain for its second AI ASIC project with higher pricing. Specifically, **management raised 2026 AI ASIC revenue guidance to US$2bn (vs. more than US$1bn previously)** and reiterated confidence that the business can scale to multiple billions of USD in 2027. More importantly, **management revised up its AI ASIC TAM to US$70-80bn in 2027 (vs. US$70bn in 2028 previously), implying a**

BUY

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Key Data

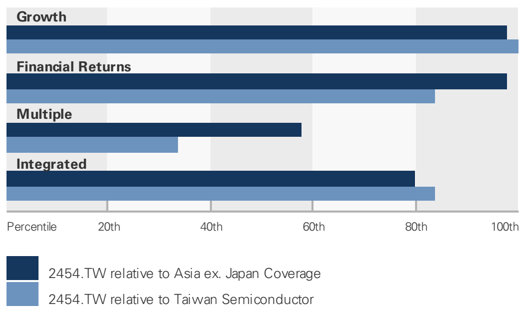
Market cap: NT$4.2tr / $131.4bn
Enterprise value: NT$3.9tr / $123.7bn
3m ADTV: NT$22.4bn / $708.5mn
Taiwan
Taiwan Semiconductor
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**595,965.7**	**673,339.8**	**1,084,001.9**	**2,288,915.5**
Revenue (NT$ mn) Old	595,965.7	614,931.8	985,588.7	1,273,832.0
EBITDA (NT$ mn)	126,444.1	124,464.2	255,827.4	774,133.2
EPS (NT$) New	**66.17**	**63.29**	**132.18**	**406.51**
EPS (NT$) Old	66.17	51.70	122.72	177.38
P/E (X)	20.7	41.2	19.7	6.4
P/B (X)	5.5	10.5	8.3	4.1
Dividend yield (%)	5.5	2.0	4.3	13.1
CROCI (%)	54.0	35.5	68.2	182.8

	3/26	6/26E	9/26E	12/26E
EPS (NT$)	15.17	13.82	12.44	21.86

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

BUY

MediaTek (2454.TW)

Rating since Feb 5, 2026

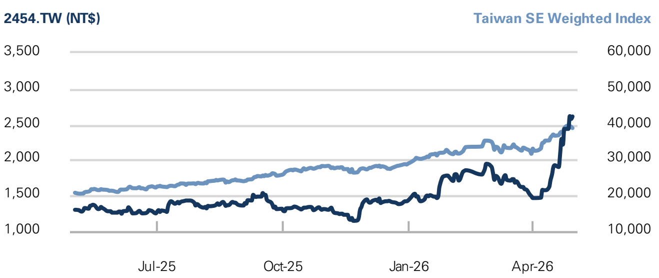
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	20.7	41.2	19.7	6.4
P/B (X)	5.5	10.5	8.3	4.1
FCF yield (%)	6.7	3.0	5.4	14.6
EV/EBITDAR (X)	15.5	31.4	14.8	4.3
EV/EBITDA (excl. leases) (X)	15.5	31.4	14.8	4.3
CROCI (%)	54.0	35.5	68.2	182.8
ROE (%)	26.4	25.2	46.6	84.8
Net debt/equity (%)	(57.3)	(62.5)	(73.2)	(82.8)
Net debt/equity (excl. leases) (%)	(57.3)	(62.5)	(73.2)	(82.8)
Interest cover (X)	173.3	270.7	533.9	1,795.4
Days inventory outst, sales	38.5	50.3	43.5	43.9
Receivable days	36.9	56.2	51.8	53.5
Days payable outstanding	179.5	219.1	188.2	180.5
DuPont ROE (%)	25.7	24.7	40.8	62.7
Turnover (X)	0.8	0.8	1.1	1.1
Leverage (X)	1.8	2.1	2.0	2.0
Gross cash invested (ex cash) (NT$)	324,106.7	324,729.0	331,094.9	389,835.0
Average capital employed (NT$)	188,602.2	163,907.3	145,605.7	157,845.2
BVPS (NT$)	249.76	248.23	315.20	636.22

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	12.3	13.0	61.0	111.2
EBITDA growth	2.5	(1.6)	105.5	202.6
EPS growth	(1.2)	(4.3)	108.8	207.5
DPS growth	39.7	(28.9)	108.8	207.5
EBIT margin	17.4	15.1	21.7	33.0
EBITDA margin	21.2	18.5	23.6	33.8
Net income margin	17.7	15.0	19.4	28.3

Price Performance



	3m	6m	12m
Absolute	48.3%	99.2%	93.3%
Rel. to the Taiwan SE Weighted Index	22.2%	44.5%	0.5%

Source: FactSet. Price as of 30 Apr 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	595,965.7	673,339.8	1,084,001.9	2,288,915.5
Cost of goods sold	(312,885.7)	(364,360.4)	(593,643.4)	(1,224,190.0)
SG&A	(31,303.9)	(34,871.3)	(42,010.4)	(49,468.1)
R&D	(148,306.4)	(172,261.5)	(213,494.5)	(260,777.2)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**126,444.1**	**124,464.2**	**255,827.4**	**774,133.2**
Depreciation & amortization	(22,974.4)	(22,617.6)	(20,973.9)	(19,653.0)
EBIT	**103,469.7**	**101,846.6**	**234,853.5**	**754,480.2**
Net interest inc./(exp.)	10,222.3	10,317.1	10,285.0	10,306.1
Income/(loss) from associates	785.0	–	–	–
Pre-tax profit	**124,887.8**	**118,216.1**	**251,138.4**	**770,786.3**
Provision for taxes	(18,770.2)	(16,642.6)	(39,924.1)	(122,845.8)
Minority interest	(798.3)	(816.3)	(793.9)	(795.0)
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**105,319.3**	**100,757.3**	**210,420.4**	**647,145.4**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**105,319.3**	**100,757.3**	**210,420.4**	**647,145.4**
EPS (basic, pre-except) (NT$)	**66.17**	**63.29**	**132.18**	**406.51**
EPS (diluted, pre-except) (NT$)	**66.17**	**63.29**	**132.18**	**406.51**
EPS (basic, post-except) (NT$)	**66.17**	**63.29**	**132.18**	**406.51**
EPS (diluted, post-except) (NT$)	**66.17**	**63.29**	**132.18**	**406.51**
DPS (NT$)	75.05	53.40	111.51	342.96
Div. payout ratio (%)	113.4	84.4	84.4	84.4

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	235,290.1	255,638.2	378,452.9	855,055.7
Accounts receivable	68,597.0	138,731.7	169,206.0	502,374.1
Inventory	67,234.6	118,171.8	140,401.7	409,800.3
Other current assets	26,334.6	26,334.6	26,334.6	26,334.6
Total current assets	**397,456.2**	**538,876.4**	**714,395.1**	**1,793,564.6**
Net PP&E	60,427.4	52,057.1	45,330.5	39,924.7
Net intangibles	80,261.7	70,014.4	59,767.1	49,519.8
Total investments	168,911.6	168,911.6	168,911.6	168,911.6
Other long-term assets	36,727.9	36,727.9	36,727.9	36,727.9
Total assets	**743,784.8**	**866,587.4**	**1,025,132.2**	**2,088,648.7**
Accounts payable	156,525.1	280,974.8	331,313.0	879,139.6
Short-term debt	940.0	940.0	940.0	940.0
Short-term lease liabilities	–	–	–	–
Other current liabilities	145,884.7	145,884.7	145,884.7	145,884.7
Total current liabilities	**303,349.8**	**427,799.5**	**478,137.8**	**1,025,964.3**
Long-term debt	60.0	60.0	60.0	60.0
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	31,180.0	31,180.0	31,180.0	31,180.0
Total long-term liabilities	**31,240.0**	**31,240.0**	**31,240.0**	**31,240.0**
Total liabilities	**334,589.8**	**459,039.5**	**509,377.7**	**1,057,204.3**
Preferred shares	–	–	–	–
Total common equity	400,601.0	398,137.6	505,550.3	1,020,445.2
Minority interest	**8,594.0**	**9,410.3**	**10,204.2**	**10,999.3**
Total liabilities & equity	**743,784.8**	**866,587.4**	**1,025,132.2**	**2,088,648.7**
Net debt, adjusted	(234,290.1)	(254,638.2)	(377,452.9)	(854,055.7)

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	105,319.3	100,757.3	210,420.4	647,145.4
D&A add-back	22,974.4	22,617.6	20,973.9	19,653.0
Minority interest add-back	798.3	816.3	793.9	795.0
Net (inc)/dec working capital	(20,302.7)	3,377.7	(2,365.9)	(54,740.1)
Other operating cash flow	54,003.6	–	–	–
Cash flow from operations	**162,792.9**	**127,568.8**	**229,822.3**	**612,853.4**
Capital expenditures	(15,059.1)	(4,000.0)	(4,000.0)	(4,000.0)
Acquisitions	(1,141.7)	–	–	–
Divestitures	–	–	–	–
Others	(21,553.1)	–	–	–
Cash flow from investing	**(37,754.0)**	**(4,000.0)**	**(4,000.0)**	**(4,000.0)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(86,069.6)	(103,220.7)	(103,007.7)	(132,250.5)
Inc/(dec) in debt	60.0	–	–	–
Other financing cash flows	(7,435.1)	0.0	0.0	0.0
Cash flow from financing	**(93,444.7)**	**(103,220.7)**	**(103,007.7)**	**(132,250.5)**
Total cash flow	**31,594.2**	**20,348.1**	**122,814.6**	**476,602.8**
Free cash flow	147,733.8	123,568.8	225,822.3	608,853.4

Source: Company data, Goldman Sachs Research estimates.

much faster ramp in ASIC demand. MediaTek also maintained its 10-15% market share target; applying the high end of this range to the updated AI ASIC TAM implies 2027 AI ASIC revenue of around $12bn, broadly inline with our previous 2027E estimate of $12.3bn *(see also MediaTek (2454.TW): Looking beyond smartphone weakness, we expect a faster AI ASIC revenue ramp in 2027; reiterate Buy with TP up to NT$2,454, 16 Apr 2026)*. Overall, the upbeat AI ASIC guidance reaffirms our confidence in MediaTek's ASIC growth outlook, and **we maintain our AI ASIC revenue forecast at $2bn/$12.3bn, where we expect AI ASICs to contribute 9%/36% of total revenue in 2026E/2027E.**

Next-generation ASIC unlocks material content value upside

MediaTek also commented on the next-generation AI ASIC project, which is expected enter volume production at the end of 2027. **Management highlighted that the next generation chip will be a much stronger and larger chip, and MediaTek is gaining value in silicon, packaging and Serdes IP**. With MediaTek's value-add increasing, management expects pricing to be higher for the next generation ASIC vs. the current generation.

Overall, **we expect the ASP of the next-generation AI ASIC to be multiple times higher than the current generation chip, as MediaTek potentially engages in compute dies design processes in addition to I/O dies**. With a much higher content value, **we expect the next-generation chip to be GM-accretive** (vs. GM-dilutive for the current generation), supporting profitability improvement into 2028E. Net-net, we now model MediaTek's **AI ASIC revenue to reach US$48bn (vs. US$19bn previously) and account for 66% of total revenue in 2028E.**

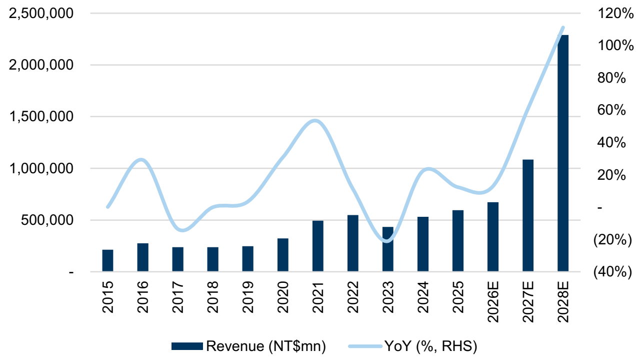
Management addresses packaging yield concerns

While we note that some investors remain concerned about the execution of the advanced packaging technology for next-generation AI ASICs, we believe management's commentary should largely alleviate these concerns, highlighting the solution's strong merits and indicating that execution is progressing well. MediaTek also emphasized that it is investing in both packaging solutions to address varying customer requirements, while working closely with partners on both approaches, and expressed confidence in its ability to deliver high-yield solutions to clients.

AI ASIC ramp to underpin multi-year margin expansion

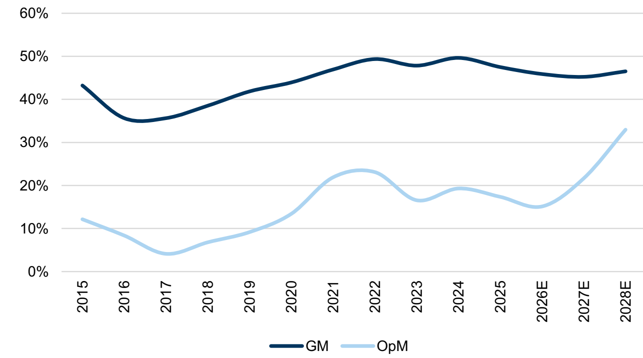
Looking ahead, we expect MediaTek's OpM to trough in 2026 before expanding sharply through 2027-28, driven by the much faster ramp in its AI ASIC business. Management has previously indicated that the ASIC business has been OpM-accretive from the outset, which should become increasingly evident as the business scales. We forecast AI ASIC revenue contribution to rise rapidly from 9% in 2026E to 36%/66% in 2027E/2028E and believe this mix shift will materially lift group profitability and drive significantly stronger operating leverage. Overall, we now forecast MediaTek's 2026E-28E revenue to grow 13%/61%/111% YoY (vs. 3.2%/60%/29% previously), with OpM reaching 15%/22%/33% (vs. 13%/22%/25% previously).

Exhibit 1: MediaTek's revenue growth trend



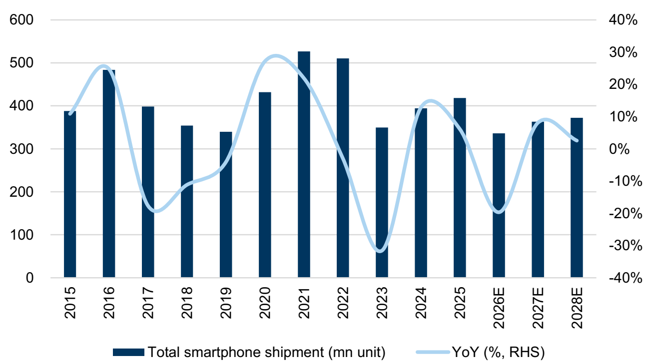
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: MediaTek's margin trends



Source: Company data, Goldman Sachs Global Investment Research

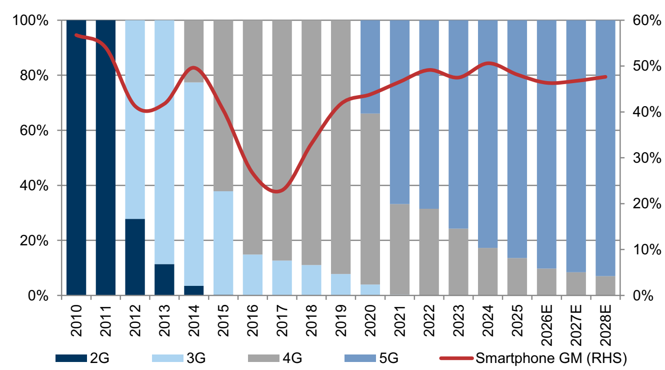
Exhibit 3: MediaTek's total smartphone shipment forecast



*Note: Data for historical years are based on GSe.

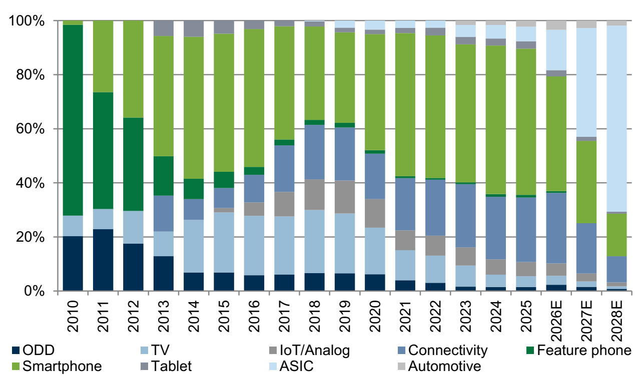
Source: Goldman Sachs Global Investment Research

Exhibit 4: MediaTek's smartphone revenue mix vs. smartphone GM



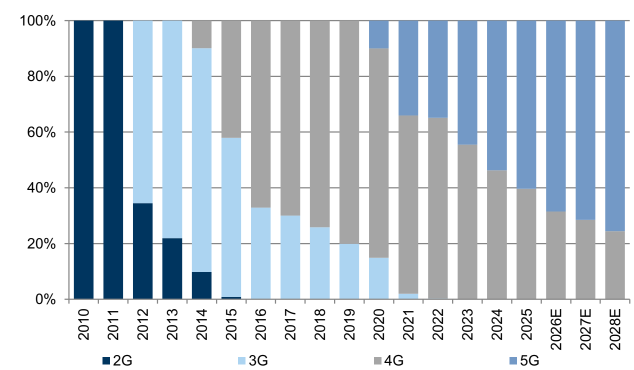
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: MediaTek's revenue mix by segment



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: MediaTek's smartphone shipment mix



Source: Company data, Goldman Sachs Global Investment Research

1Q26 results and 2Q26 guidance recap

2Q26 revenue guidance above GSe

For 2Q26, MediaTek is now looking for revenue to be in the range of NT$140.2-149.2bn (0% to -6% QoQ), GM to be within +/- 1.5% of 46%, and opex-to-sales to be within +/- 2% of 31%. 2Q26 revenue guidance came in above GSe of -6.4% QoQ and was largely inline with the Bloomberg consensus of -1.1% QoQ. GM guidance of 46% +/1.5%, came in inline vs. GSe/cons of 45.6%/46.1%. We are now modeling 2Q26E revenue to be down by 0.7% QoQ, with GM of 46.2%. By segment, management anticipates flagship smartphone revenue to decline QoQ, driven by heightened memory cost which is expected to negatively impact smartphone end demand. In the smart edge segment, MediaTek is looking for sequential revenue growth, driven by share gain across several segments, including auto, compute, and connectivity. For the PMIC business, management expect growth to be flattish in 2Q26.

1Q26 core ops inline with GSe/consensus

1Q26 revenue was NT$149.1bn (-0.7% QoQ/-2.7% YoY), at the higher end of company's guidance of NT$141.2-150.2bn, and inline with both GSe and cons. 1Q26 GM of 46.3% also came in largely inline vs. GSe/consensus of 46.0%/46.0%. MediaTek's 1Q26 OpM of 15.3% was slightly above GSe of 14.6%, while inline with consensus. Net-net, EPS of NT$15.17 (+5.4% QoQ/-17.7% YoY) was below GSe/consensus of NT$13.80/NT$14.24 on lower tax rate due to one-off tax benefits.

Exhibit 7: 1Q26 results summary

	1Q26	4Q25	1Q25	%QoQ	%YoY	GS prev.	%Diff	Consensus	%Diff
(NT$mn)									
Revenue	149,151	150,188	153,312	-0.7%	-2.7%	149,778	-0.4%	146,564	1.8%
Gross profit	69,055	69,281	73,809	-0.3%	-6.4%	68,833	0.3%	67,388	2.5%
Op. income	22,891	21,850	30,053	4.8%	-23.8%	21,862	4.7%	22,193	3.1%
Net income	24,154	22,925	29,325	5.4%	-17.6%	21,973	9.9%	22,674	6.5%
EPS (NT$)	15.17	14.40	18.43	5.4%	-17.7%	13.80	9.9%	14.24	6.5%
GM	46.3%	46.1%	48.1%	0.2%	-1.8%	46.0%	0.3%	46.0%	0.3%
OpM	15.3%	14.5%	19.6%	0.8%	-4.3%	14.6%	0.8%	15.1%	0.2%
NM	16.2%	15.3%	19.1%	0.9%	-2.9%	14.7%	1.5%	15.5%	0.7%

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Earnings changes, valuation and risks

Forecast changes

We have revise up our 2026E-28E earnings by 22%/8%/129% to reflect 1) 1Q26 actual results, 2) much higher next-gen ASIC content value, 3) higher GM assumption for next-gen ASIC, and 4) accelerating operating leverage into 2028.

Exhibit 8: Earnings revisions

	2026E			2027E			2028E		
(NT$mn)	Old	New	Diff (%)	Old	New	Diff (%)	Old	New	Diff (%)
Revenue	614,932	673,340	9.5%	985,589	1,084,002	10.0%	1,273,832	2,288,915	79.7%
Gross profit	279,366	308,979	10.6%	440,890	490,358	11.2%	568,330	1,064,726	87.3%
Op. income	80,762	101,847	26.1%	215,401	234,853	9.0%	318,802	754,480	136.7%
Net income	82,297	100,757	22.4%	195,367	210,420	7.7%	282,381	647,145	129.2%
EPS (NT$)	51.70	63.29	22.4%	122.72	132.18	7.7%	177.38	406.51	129.2%
GM	45.4%	45.9%	0.5%	44.7%	45.2%	0.5%	44.6%	46.5%	1.9%
OpM	13.1%	15.1%	2.0%	21.9%	21.7%	-0.2%	25.0%	33.0%	7.9%
NM	13.4%	15.0%	1.6%	19.8%	19.4%	-0.4%	22.2%	28.3%	6.1%

	2Q26E			3Q26E			4Q26E		
(NT$mn)	Old	New	Diff (%)	Old	New	Diff (%)	Old	New	Diff (%)
Revenue	140,144	148,103	5.7%	132,253	153,175	15.8%	192,757	222,912	15.6%
Gross profit	63,964	68,373	6.9%	60,522	70,822	17.0%	86,046	100,729	17.1%
Op. income	14,644	21,978	50.1%	11,202	19,637	75.3%	33,054	37,341	13.0%
Net income	15,774	21,994	39.4%	13,046	19,803	51.8%	31,504	34,806	10.5%
EPS (NT$)	9.91	13.82	39.4%	8.20	12.44	51.8%	19.79	21.86	10.5%
GM	45.6%	46.2%	0.5%	45.8%	46.2%	0.5%	44.6%	45.2%	0.5%
OpM	10.4%	14.8%	4.4%	8.5%	12.8%	4.3%	17.1%	16.8%	-0.4%
NM	11.3%	14.9%	3.6%	9.9%	12.9%	3.1%	16.3%	15.6%	-0.7%

Source: Company data, Goldman Sachs Global Investment Research

Reiterate Buy; TP raised to NT$5,000 from NT$2,454

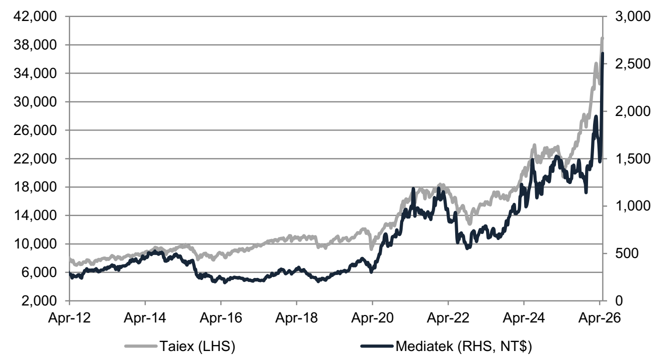
Our 12m TP is now revised up to NT$5,000 from NT$2,454 previously, following our upward earnings revisions and our raised TP P/E multiple (to 25x from 20x previously; based on +1.8 stdv above 5 yr avg. fwd P/E) applied to our FY2H27E-1H28E EPS (rolled over from 2027E). The +1.8 stdv premium is supported by a 1.8x earnings CAGR premium, based on our projected 2025-28E earnings CAGR of 57% vs. 20.5% in 2020-25. We rollover our EPS estimates to 2H27-1H28, as we believe it best reflects MediaTek's potential for the next-generation AI ASIC, which the company anticipates to enter volume production in 4Q27 with much higher content value. Overall, our 12m TP implies 92% upside; we reiterate our Buy rating on MediaTek.

Exhibit 9: MediaTek P&L summary

	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2026E	2027E	2028E
P&L (NT$mn)											
Revenue	149,151	148,103	153,175	222,912	243,448	261,075	283,546	295,933	673,340	1,084,002	2,288,915
Gross profit	69,055	68,373	70,822	100,729	109,701	117,829	128,461	134,367	308,979	490,358	1,064,726
Operating profit	22,891	21,978	19,637	37,341	47,546	54,290	64,087	68,931	101,847	234,853	754,480
Net income	24,154	21,994	19,803	34,806	43,406	48,830	57,049	61,136	100,757	210,420	647,145
EPS (NT$)	15.17	13.82	12.44	21.86	27.27	30.67	35.84	38.40	63.29	132.18	406.51
Margins (%)											
Gross margin	46.3%	46.2%	46.2%	45.2%	45.1%	45.1%	45.3%	45.4%	45.9%	45.2%	46.5%
Operating profit margin	15.3%	14.8%	12.8%	16.8%	19.5%	20.8%	22.6%	23.3%	15.1%	21.7%	33.0%
Net margin	16.2%	14.9%	12.9%	15.6%	17.8%	18.7%	20.1%	20.7%	15.0%	19.4%	28.3%
YoY (%)											
Revenue	-2.7%	-1.5%	7.8%	48.4%	63.2%	76.3%	85.1%	32.8%	~~13.0%~~	61.0%	111.2%
Gross profit	-6.4%	-7.5%	7.1%	45.4%	58.9%	72.3%	81.4%	33.4%	~~9.1%~~	58.7%	117.1%
Operating profit	-23.8%	-25.2%	-11.5%	70.9%	107.7%	147.0%	226.4%	84.6%	~~-1.6%~~	130.6%	221.3%
Net income	-17.6%	-21.0%	-21.5%	51.8%	79.7%	122.0%	188.1%	75.6%	~~-4.3%~~	108.8%	207.5%
EPS	-17.7%	-21.1%	-21.5%	51.8%	79.7%	122.0%	188.1%	75.6%	~~-4.3%~~	108.8%	207.5%
QoQ (%)											
Revenue	-0.7%	-0.7%	3.4%	45.5%	9.2%	7.2%	8.6%	4.4%			
Gross profit	-0.3%	-1.0%	3.6%	42.2%	8.9%	7.4%	9.0%	4.6%			
Operating profit	4.8%	-4.0%	-10.7%	90.2%	27.3%	14.2%	18.0%	7.6%			
Net income	5.4%	-8.9%	-10.0%	75.8%	24.7%	12.5%	16.8%	7.2%			
EPS	5.4%	-8.9%	-10.0%	75.8%	24.7%	12.5%	16.8%	7.2%			

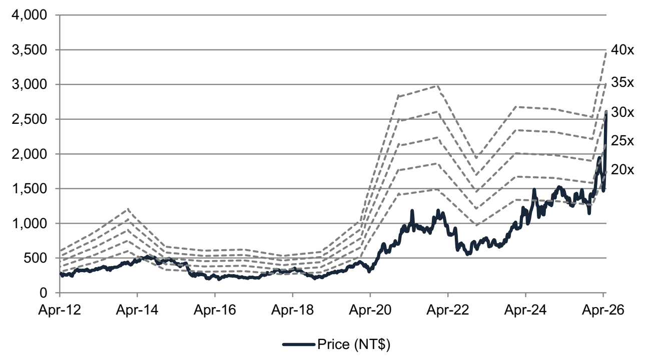
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 10: Taiex vs. MediaTek



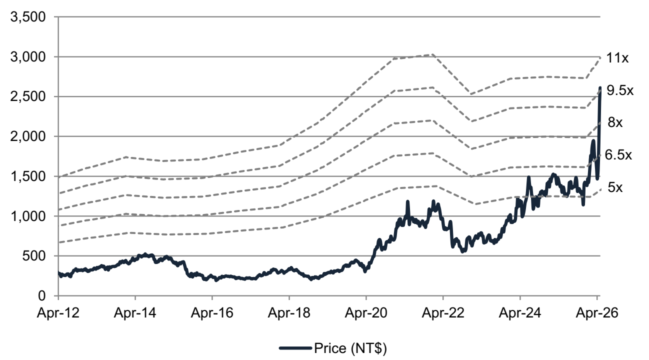
Source: Bloomberg

Exhibit 11: MediaTek Forward P/E



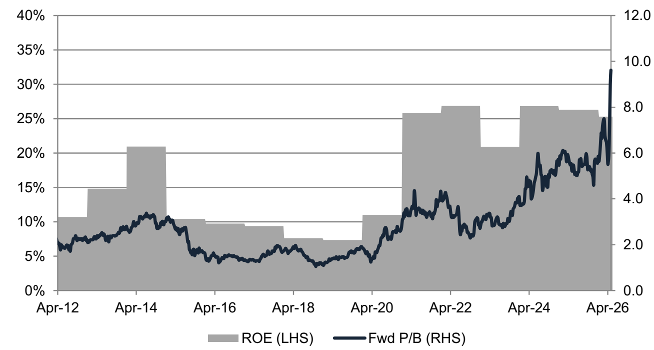
Source: Bloomberg

Exhibit 12: MediaTek Forward P/B



Source: Bloomberg

Exhibit 13: MediaTek P/B vs. ROE



Source: Bloomberg

Investment Thesis, Price Target Risks and Methodology

Investment Thesis - Mediatek

MediaTek is a leading global IC design house specializing in smartphone AP (application processor). We have a positive stance on MediaTek, viewing it as well-positioned to transition from a traditional smartphone application provider to an AI-focused vendor, beginning with AI smartphones and extending to enterprise ASICs and smart automotive solutions (in partnership with NVIDIA) in 2025 and beyond. We expect MediaTek to achieve solid multi-year growth, where we expect revenue and earnings to increase by 40%/57% CAGRs, respectively, in 2025-28E. This growth will be primarily driven by: 1) market share gains, particularly in the premium segment (specifically high-end 5G flagship SoCs), 2) strong ramp in AI ASIC business, and 3) new TAM in automotive/computing sectors.

Price Target Risks and Methodology - MediaTek (2454.TW)

Valuation: We have a 12m TP of NT$5,000. Our TP is based on a target P/E multiple of 25x (1.8 stdv above its 5-year trading average) applied to our 2H27E-1H28E EPS.

Key risks to our views: (1) Weaker-than-expected end demand especially with smartphones, (2) Higher foundry cost to impact its margin outlook, (3) Intensifying competition would result in change in profitability as competition would normally lead to change in pricing dynamics, and (4) Slower ramp in ASIC would result in changes in operating leverage

Disclosure Appendix

Reg AC

We, Bruce Lu, Evelyn Yu and Ryan Huang, CFA, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

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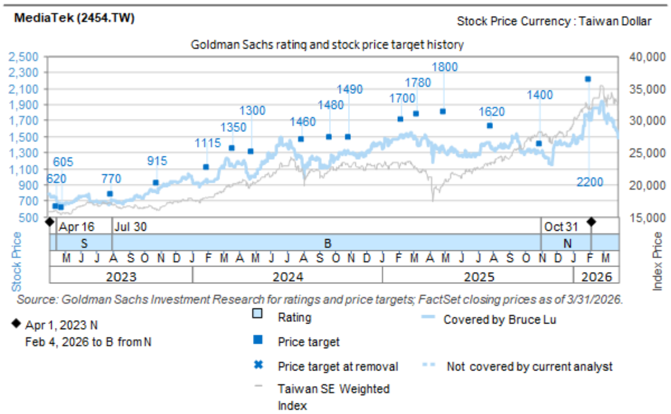
Price target and rating history chart(s)



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Target price history table(s)

MediaTek (2454.TW)

Date of report	Target price (NT$)	Closing price (NT$)
16-Apr-26	2,454.00	1,895.00
04-Feb-26	2,200.00	1,800.00
31-Oct-25	1,400.00	1,310.00
30-Jul-25	1,620.00	1,380.00
30-Apr-25	1,800.00	1,350.00
10-Mar-25	1,780.00	1,395.00
07-Feb-25	1,700.00	1,525.00
30-Oct-24	1,490.00	1,290.00
24-Sep-24	1,480.00	1,195.00
31-Jul-24	1,460.00	1,220.00
26-Apr-24	1,300.00	1,005.00
21-Mar-24	1,350.00	1,140.00
31-Jan-24	1,115.00	966.00
27-Oct-23	915.00	801.00
30-Jul-23	770.00	658.00

Price targets shown in table(s) are unadjusted for corporate actions.

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